

**BAKER
HUGHES**

Rpt Date 22/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 12.25" pilot section #4		Mud System SYN-TEQ (PARA)										
Job# 1	Spud Date 05/Jul/2006		MD 2653.00 m		Progress 230.00 m		Present Activity Drilling Formation									
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough /Terry Nanidis.									
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN							
Drilling Assembly			Casing			Volumes	Pump Information									
Bit Gauge in		Mfr	Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC	PDC			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	80	401
Drill Collars		Drill Pipe		13 3/8	12.415	1622.00	1346.5	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	83	416	
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2653.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0
9 1/2	2.800	18.26	5	4.276	2438.44				365							
8 1/2	2.800	29.09	5	3	166.87				Tot Active							
									1711.5							
									In Storage							
								454	Surface to Bit	7.6 min/1240stks		Total System		87.9 min/14330stks		
									Bottoms Up	61.6 min/10034stks						
Mud Properties					Max Ann Velocity		Hole Information									
Property		1	2	3	4	AV Riser	56.41 ft/min	Standpipe Pressure		3250 psi		Water Depth		152.00 m		
Sample From		Reserve	Active Pit	Flow Line	Active Pit	AV Casing	155.19 ft/min	Hole Flow		818 USgal/min		Riser Booster Rate		USgal/min		
Check Time		03:00	09:00	16:00	23:40	AV Open Hole	335.05 ft/min	Solids Analysis								
MD m		2467.00	2524.00	2565.00	2653.00	Vc Open Hole	512.23 ft/min	Property	1	2	3	4				
TVD m		2240.00	2273.00	2299.00	2359.00	Vc Drill Pipe	427.82 ft/min	LGS %	5.28	8.74	9.93	8.88				
Bit Depth m		2467.00	2524.00	2565.00	2653.00	Min Ann Velocity		LGS lb/bbl	48.10	79.63	90.53	80.92				
Inc deg			58.57	54.31	45.05	AV Riser	56.41 ft/min	HGS %	6.06	4.12	3.44	3.86				
Density ppg		10.00	10.00	10.00	10.00	AV Casing	155.19 ft/min	HGS lb/bbl	89.18	60.70	50.60	56.82				
Funnel Visc. sec/quart		52.0	70.0	73.0	78.0	AV Open Hole	160.24 ft/min	Avg Dens Sol sg	3.4550	3.1130	3.0113	3.0847				
Flow Line Temp degF			154.0	154.0	154.0	Bit Information										
Test Temp degF		98.0	132.0	130.0	130.0	Size	12 1/4 in									
Rheol Temp degF		120.0	120.0	120.0	120.0	Hours On Bit										
PV cP		23	32	32	33	Bit Number										
YP lbf/100ft^2		15	30	34	32	BHA Number	5	Rheology								
10sec Gel lbf/100ft^2		6	11	14	13	Depth In	m	600 RPM	61	94	98	98				
10min Gel lbf/100ft^2		8	22	26	27	Bit RPM		300 RPM	38	62	66	65				
HTHP Filtrate cc		4.0	3.2	3.2	3.2	WOB		klbf	200 RPM	25	50	56	56			
HTHP Cake in/32		2.0	2.0	2.0	2.0	Nozzles		7x16	100 RPM	19	35</					

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	20.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	30.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 140	30.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	80	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume	2190.4	Riser w/o Pipe	215.7
Brine		Water	40	Cased Off		Trip Losses		Daily Additions	88.9	Casing w/o Pipe	709.3
Base Fluid	40	Product	8.9	Left In Hole		Injected		Daily Losses	114	Open Hole w/o Pipe	493.1
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2165.3	String Displacement	71.6
				SCE	80	Onshore Disposal		Net Change	-25.1	String Capacity	148.1
				Evaporation	26	Returned				Total Hole w/ Pipe	1346.5
				Other Losses	8					Total Active	1711.5
										Total Reserve	454.0

Circulate	1	Drilling Formation	22	Miscellaneous	1	
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Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	22256.07	Daily Product Cost	0.00	Primary Product	1148571.38
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	46350.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	23156.07	Total Daily Cost	0.00	Primary Total	1194921.38
Total Inventory Value	509539.77	Total Inventory Value	0.00	Secondary Total	
				Deck Load	405.98 UK ton

Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk														
BARITE - Imported	1000 kg	258						258	540.00				0.09	0.11
Oil Based Product														
CARBO-GEL	25 kg	105		120			25	200	264.28		6607.00		5.33	8.47
MIL-LIME	25 kg	200						200	34.25				5.47	1.94
OMNI-COTE	55 USgal	8						8	2150.00					
OMNI-MUL	55 USgal	22					2	20	995.06		1990.12		3.10	0.88
OMNI-PLEX	55 USgal	10		8			1	17	1618.95		1618.95		3.14	3.23
OMNI-TEC	55 USgal	20						20	923.00				0.74	0.05
PARA-TEQ	1 bbl	654					40	614	280.00		11200.00			
SA 58	50 lb								97.10					
Water Based Product														
CALCIUM CHLORIDE (97%)	50 lb	80					40	40	21.00		840.00		8.75	1.88
CAUSTIC SODA	25 kg	17						17	37.89				0.04	0.05
POTASSIUM CHLORIDE BRINE	1 bbl	189						189	46.85				54.92	68.27
XANTHANGUM D	25 kg	40						40	345.22				0.28	0.35
LCM														
CALCIUM CARBONATE - FINE	25 kg	200						200	21.68				0.01	0.01
CALCIUM CARBONATE - MED	25 kg	220						220	21.68				0.04	0.05
KWIKSEAL - MEDIUM	50 lb	39						39	70.52				0.03	0.04
MIL-PLUG FINE	50 lb	84						84	27.01					
MIL-SEAL MEDIUM	50 lb	90						90	36.00					
SOLUFLAKE F	50 lb	158						158	57.24					
SOLUFLAKE M	50 lb	80						80	57.24					
Other														
SAW DUST	25 kg	30						30	12.50					

BHDF Fluids Rep Billy Oquauwwe/ Kunle Olavinka	BHDF Rep Phone 234-803-402-0440	Warehouse Onne	Warehouse Phone 234-84-462609	Coordinator Lawson Oqaree	Daily Cost 23156.07 USD	Cumulative Cost 1194921.38 USD	Inventory Value 509539.77 USD	Page 2
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